

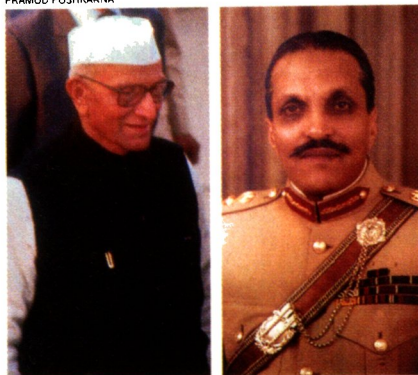
incentives towards a cooperative relationship and disincentives to discourage hostile actions.

...Saxena, Joshi and Verma under Rajiv Gandhi's leadership followed a triangular policy towards Pakistan—cooperative relations where possible, hard-hitting covert actions when necessary and close networking with Afghanistan. This policy started paying dividends in Punjab even when Rajiv Gandhi was the PM in the form of reduced ISI support for the Khalistanis but this did not prevent the ISI from interfering in J&K from 1989. The successors of Rajiv Gandhi as the PM had the good sense to realise that this was not an argument for discontinuing Rajiv Gandhi's policy but for further strengthening it. This triangular strategy was continued with varying intensity under the successors to Rajiv Gandhi, but, unfortunately, under Inder Gujral, who was PM in 1997, discontinued it under his Gujral doctrine. He ordered the R&AW to wind up its covert action division as an act of unilateral gesture towards Pakistan. His hopes that this gesture would be reciprocated by Pakistan were belied. His policy towards Pakistan became one of unilateral incentives with no disincentives.

MORARJI DESAI AND ZIA-UL-HAQ

General Zia-ul-Haq, who overthrew Zulfikar Ali Bhutto in a military coup in 1977 and arrested him, was anxious to avoid any fresh tensions in Pakistan's relations with India till he was able to get rid of Bhutto and consolidate his power. He kept in touch with Morarji Desai on the phone in order to befriend him. Like many senior military officers of the Pakistan Army, Zia was a pastmaster in the art of flattery. Often, he would ring up Morarji Desai under the pretext of consulting him on native medicine and urine therapy. Nothing flattered Morarji more. Zia would ask him with seeming earnestness in his voice: "Excellency, how many times should one drink urine in a day? Should it be the first urine of the morning or can it be at any time of the day?" In a disarmed and unguarded moment one day, Morarji told him that he was

PRAMOD PUSHKARNA



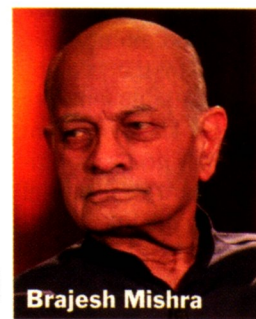
SOFT SPOT: Zia-ul-Haq (right) befriended Morarji Desai

The intelligence chiefs were reduced to being the NSA's direct subordinates and advisers.

aware that Pakistan was clandestinely trying to develop a military nuclear capability. Indiscreet political leaders are the unavoidable occupational hazard of the intelligence profession.

BRAJESH MISHRA UNDERMINES SPY CHIEFS

Brajesh Mishra as the Principal Secretary to the Prime Minister and as, concurrently, his National Security Adviser (NSA) established the practice of all advice to the PM—either from the intelligence chiefs or from other officials—going through him. This is why he strongly opposed the repeated demands that the same person should not wear two hats as the Principal Secretary to the PM and the NSA. He diluted the role of the intelligence chiefs as advisers to the PM on national security matters and kept the roles restricted to the collection, analysis and assessment of intelligence and its dissemination. In national security policy-making, the



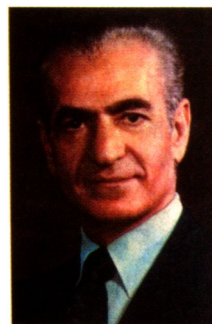
Brajesh Mishra

intelligence chiefs—particularly the chief of the R&AW—were reduced to the role of being his direct subordinates and advisers...

However the DIB managed to acquire a little more space and significant role for himself by using his political contacts such as L.K. Advani, the Home Minister and the Deputy Prime Minister, who jealously guarded his turf from any encroachment by Brajesh Mishra, and Ranjan Bhattacharya, the son-in-law of Vajpayee.

BRIBING THE SHAH'S FAMILY

When the Morarji Desai-led government came into power, it had all the records of R&AW scrutinised in the hope of finding instances of the misuse of the organisation by Indira Gandhi and Sanjay Gandhi. It could not find any. However, it came across a curious case in the files of the Ministry of Finance and the RBI which it thought it could use to fix R&AW, Kao and Nair. This related to Nair being sent to Geneva during the Emergency to deposit a cheque for \$6 million in a numbered account of a bank in Geneva. Morarji Desai suspected that this account belonged to Sanjay Gandhi.



The Shah of Iran However, enquiries revealed that this account actually belonged to one Rashidyan, an Iranian middleman who was a close friend of Ashraf Pahlawi, the sister of the Shah of Iran. On the recommendation of the Hinduja, the Ministry of Finance of the GoI had used the services of this man to request Ashraf Pahlawi to persuade the Shah to grant two soft loans to India—one for the implementation of the Kudremukh iron ore project and the other to pay the import bill of India. The Govt was facing serious financial difficulties after the US action against India after the Pokhran I nuclear test in 1974 and had requested the Shah of Iran for a soft loan of \$250 million. At the urging of Ashraf Pahlawi, the Shah agreed to help India out. The Finance Ministry agreed to the recommendation of the Hinduja that a commission of \$6 million should be paid out to Rashidyan for getting this loan through the sister of the Shah of Iran. ■